

More recently, a hack of Bitfinex's exchange cost investors \$72 million.³⁰ The hack was a result of Bitfinex storing 100 percent of its client assets in hot wallets. There is debate on why Bitfinex did this. Possibly it was for purposes of liquidity, as Bitfinex is one of the most liquid and active exchanges, or it could have been a result of regulations put in place. Prior to the hack, Bitfinex had settled with the CFTC for \$75,000 primarily because its cold storage of bitcoin ran afoul of CFTC regulations. The move to place all clients' assets into hot wallets is cited by many as due to the fine and CFTC regulations.³¹ Either way, this hack proved that no matter the security protocols put in place, hot wallets are always more insecure than properly executed cold storage because the hot wallet can be accessed from afar by anyone with an Internet connection. Only a physical break-in would allow a thief to gain access to assets in cold storage.

At the time of the Mt. Gox hack, bitcoin and its underlying technology was still in its infancy and experiencing growing pains, like any other new technology. Famous venture capitalist Fred Wilson wrote soon after the incident, "We are witnessing the maturation of a sector and part of that will inevitably be failures, crashes, and other messes. Almost every technology that I've watched come into a mass adoption has gone through these sorts of growing pains."³² Innovators and early adopters of any new technology are taking risks, but the exchanges are professionalizing over time. Mt. Gox is no more; Bitfinex has restructured itself and is humming along.